

Mortgages

The United States has one of the most diverse and innovative mortgage markets in the world, offering a wider range of products and lenders than are available in most countries.

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There are many different types of mortgage lenders in the US, from banks to credit unions to nonbank lenders, such as Quicken Loans. Competition is fierce, which helps to stabilize rates for consumers.

Although a vast number of lenders operate in the US, a few dominate the industry. During the fourth quarter of 2015, Wells Fargo originated twice as many mortgages as Chase, according to *Mortgage Daily*, an industry publication. Wells Fargo totaled \$47 billion in originations and Chase originated \$23 billion.

As of June 30, 2016, the total mortgage balances on consumer credit reports was \$8.36 trillion, according to the Federal Reserve Bank of New York's *Household Debt and Credit Report*.

Several types of mortgages are available in the US. Deciding between a fixed- and adjustable-rate mortgage is one of the first decisions a borrower has to make. With a fixed rate, which is the most common choice, the interest stays the same for the entire repayment of the loan. Most fixed mortgages are either for 30 or 15 years. Many borrowers opt for the 30-year fixed mortgage to secure a lower monthly payment.

An adjustable rate mortgage (ARM) has an interest rate that “adjusts” over the period of the loan. With a hybrid ARM, the rate is usually fixed for a certain number of years and then it is subject to change.

There are also government-insured loans such as FHA loans, VA loans, and USDA/RHS loans, which are programs for income-eligible buyers in rural areas.

Mortgage eligibility

Lenders consider many factors when determining the eligibility of buyers. One of the requirements for a mortgage is an acceptable credit score. The credit

score required for approval of a mortgage varies among lenders. With a FICO score that is 720 or higher, the buyer gets the most favorable rates and terms. But according to the Federal Deposit Insurance Corporation (FDIC), if the score is below 660 (or down to 620 if the economy is good), the buyer is considered a subprime customer. Subprime borrowers can still get mortgages, but the rates and fees are higher.

But a borrower also needs a favorable loan-to-value ratio (LTV), which shows how much the property is worth compared to the amount you need to borrow. The more favorable the ratio, the better.

It is also best to have the down payment, preferably around 20 percent, on hand before applying for a mortgage. Knowing the down payment helps buyers determine how expensive a house they can afford.

Once the mortgage shopping has begun, preapprovals are necessary. This is when the lender will look at the borrower's credit report and check the credit score. While this does result in a hard inquiry on the credit report, the good news is that the FICO score, the score used most often by lenders, recognizes inquiries that are the result of mortgage rate shopping and treats multiple rate inquiries as only one inquiry that impacts the score.

Another test for eligibility is the debt-to-income ratio. Mortgage lenders like to see a debt-to-income ratio of less than 36 percent of the buyer's gross monthly income. Mortgage payments will be higher though when taxes and property insurance are added.

Lenders also take into account the employment history of borrowers. A stable history is considered to be positive. Those who are self-employed may need to provide tax returns or bank statements to show they have a stable financial situation.